

The 5 OEI Diagnostic Pillars

How the Operational Entropy Index measures organizational friction and scalability

1. Founder Dependency

Bottom Line: Is leadership designing the system or trapped inside the system?

Measures how dependent the organization is on specific individuals, typically founders or senior leadership, for approvals, operational continuity, and decision routing.

2. Knowledge Logistics

Bottom Line: Can we get the knowledge we need from your documentation without wasting time or needing to look elsewhere?

Measures how reliably operational knowledge is stored, updated, retrieved, and distributed across the organization. Weak knowledge logistics increase dependency on few individuals and repeated clarification.

3. Workflow Velocity

Bottom Line: Are the workflows working as designed, and does that design reflect reality?

Measures how efficiently work moves through the organization, including approval latency, prioritization stability, and execution throughput. Velocity degradation is often an early signal of compounding friction.

4. Tool Discipline

Bottom Line: Are the tools working with us or against us? Or even worse, against each other?

Measures how coherently the organization's systems and operational tools support execution. Poor tool discipline creates redundant workflows, manual workarounds, and unnecessary coordination overhead.

5. Handoff Integrity

Bottom Line: Are teams creating more work for each other, or helping each other succeed?

Measures how effectively responsibilities, decisions, and operational context transfer between individuals or teams. Weak handoff integrity increases clarification loops and coordination friction.

The OEI score is intended to function as a directional operational diagnostic rather than an absolute measurement. The goal is not to eliminate all operational issues, but to identify where entropy is actively limiting scalability and execution reliability.